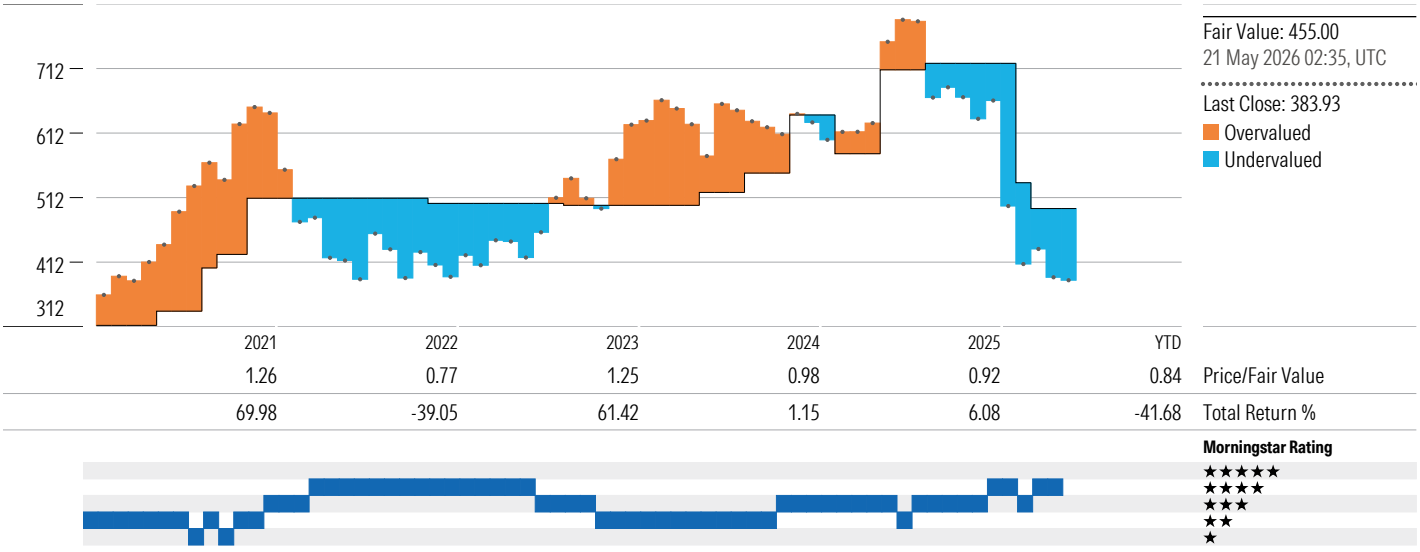
Intuit Inc INTU ★★★★ 21 May 2026 02:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
383.93 USD 20 May 2026	455.00 USD 21 May 2026 02:35, UTC	0.84	106.18 USD Bil 20 May 2026	Narrow	Large Value	High	Standard	13 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.26	0.77	1.25	0.98	0.92	0.84
Total Return %	69.98	-39.05	61.42	1.15	6.08	-41.68

Morningstar Rating

Total Return % as of 20 May 2026. Last Close as of 20 May 2026. Fair Value as of 21 May 2026 02:35, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Intuit Earnings: TurboTax Underperformance Imperils the Product's Long-Term Growth Potential

Analyst Note Luke Yang, CFA, Equity Analyst, 21 May 2026

Intuit's third-quarter total revenue grew 10% to $8.6 billion. Global business solutions' growth was in line at 15%. TurboTax underperformed in the 2026 tax season, with revenue up 7%. The weakness was partially offset by Credit Karma's 15% growth, leading to a total consumer revenue growth of 8%.

Why it matters: TurboTax's DIY product is facing the strongest post-covid headwind, which is the main reason Intuit's stock dropped 13% in after-hours trading. Total tax filings with the IRS are expected to decline by 30 basis points this season, leading to a loss of 2 million units in the DIY category.

- Intuit attributed TurboTax's weak performance to lower-income DIY tax filers. While Credit Karma's recent performance has been strong, we need more evidence that Intuit can consistently monetize the lower-end market beyond tax to drive revenue growth across its consumer platform.
- TurboTax Live, Intuit's assisted tax filing product, saw customer count grow by 38% and revenue by 36%. As TurboTax Live rapidly penetrates the assisted tax filing market, we think the product may hit a growth plateau earlier than we expected, putting TurboTax's long-term growth in question.

The bottom line: We reduce our fair value estimate for narrow-moat Intuit to $455 from $495, as we taper our growth forecasts for TurboTax and Mailchimp. Shares currently look attractive, but we reiterate our High Morningstar Uncertainty rating on the name, which was updated recently.

- We now model a 5.6% annualized growth rate for TurboTax over the next five years. Besides

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Sector Technology

Industry Software - Application

Business Description

Intuit serves small and midsize businesses with accounting software QuickBooks and online marketing platform Mailchimp. The company also operates retail tax filing tool TurboTax, personal finance platform Credit Karma, and a suite of professional tax offerings for accountants. Founded in the mid-1980s, Intuit enjoys a dominant market share for small-to-midsize business accounting and self-serve tax filing in the US.

macroeconomic headwinds, artificial intelligence-based DIY tax filing options are quickly evolving, which can completely shift the competitive landscape for TurboTax within the next 12 months.

- That said, Intuit's switching costs with business customers remain intact. We expect continued expansion of Intuit's midmarket and money products to support low-double-digit revenue growth for global business solutions through fiscal 2030.

Business Strategy & Outlook Luke Yang, CFA, Equity Analyst, 21 May 2026

Intuit owns an array of small business and tax software products that enjoy dominant market positions in their respective verticals. We think Intuit Enterprise Suite, the company's entry-level enterprise resource planning platform that combines Mailchimp's front-office and QuickBooks' back-office functionalities, is a competitive product supporting Intuit's expansion among midsize companies. In addition, Intuit's done-for-you products, offering real-time AI and expert support across QuickBooks, Mailchimp, and TurboTax, should become an effective tool that lifts average revenue per customer.

Unlike large enterprises that require complex information systems with advanced capabilities, small and midsize businesses value the convenience of managing their accounting records, customer information, and payrolls on one platform. We think Intuit's introduction of IES is a favorable strategic move because it combines QuickBooks' and Mailchimp's strengths to reduce overhead for high-growth businesses that otherwise need to manage multiple systems on a daily basis. Meanwhile, single-purpose, small-business-oriented software like QuickBooks delivers limited functionality at a monthly cost of several hundred dollars or less. Multipurpose ERP systems targeting midsize companies like Oracle NetSuite are usually priced at tens of thousands of dollars per month including initiation costs. We think IES, as an entry-level ERP service with a monthly price of several thousand dollars, could help Intuit capture new growth opportunities by narrowing the gap between the two existing categories on the market.

TurboTax Live is Intuit's assisted tax-filing experience that connects individual users with tax accountants in real time. Intuit also offers QB Live and Mailchimp Live, matching small businesses with accounting or marketing professionals. We think both mechanisms have become Intuit's key differentiators from competitive offerings that are incremental to the company's moat. The high ARPCs of Live products also present attractive upsell opportunities that drive critical top-line growth in mature markets like small business accounting and DIY tax.

Bulls Say Luke Yang, CFA, Equity Analyst, 21 May 2026

- Synergies between Credit Karma and TurboTax should continue to deepen, which drives additional cross-sell opportunities for Intuit's personal finance platform.
- Intuit Enterprise Suite, powered by QuickBooks and Mailchimp, is a unique product that should drive Intuit's online ecosystems growth as the company penetrates midmarket.

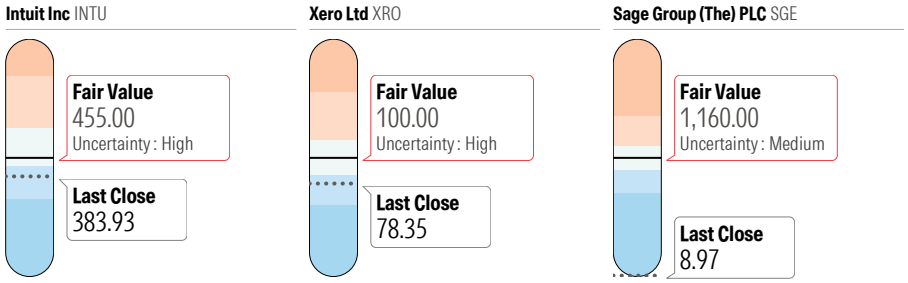
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Competitors



	Intuit Inc INTU	Xero Ltd XRO	Sage Group (The) PLC SGE
Economic Moat	Narrow	Narrow	Narrow
Currency	USD	AUD	GBP
Fair Value	455.00 21 May 2026 02:35, UTC	100.00 20 May 2026 02:31, UTC	1,160.00 19 May 2026 22:58, UTC
1-Star Price	705.25	155.00	1,566.00
5-Star Price	273.00	60.00	812.00
Assessment	Undervalued 20 May 2026	Undervalued 20 May 2026	Undervalued 20 May 2026
Morningstar Rating	★★★★21 May 2026 02:37, UTC	★★★★20 May 2026 05:00, UTC	★★★★19 May 2026 05:00, UTC
Analyst	Luke Yang, Equity Analyst	Roy Van Keulen, Equity Analyst	Rob Hales, Senior Equity Analyst
Capital Allocation	Standard	Standard	Standard
Price/Fair Value	0.84	0.78	0.78
Price/Sales	5.14	5.30	3.59
Price/Book	5.15	2.96	12.05
Price/Earning	23.42	—	24.43
Dividend Yield	1.21%	0.00%	2.41%
Market Cap	106.18 Bil	13.60 Bil	810.64 Bil
52-Week Range	342.11—813.70	67.93—196.52	771.66—1,335.00
Investment Style	Large Value	Large Growth	Mid Growth

- Intuit's done-for-you products, like TurboTax Live, give the company additional runway to lift average revenue per customer.

Bears Say Luke Yang, CFA, Equity Analyst, 21 May 2026

- TurboTax could face material headwinds if a government-sponsored free tax filing program gains traction in the US.
- Intuit Enterprise Suite is still in the early stages of its build-out process, requiring continued investments from Intuit both on the product and marketing end.
- Other small business accounting software competitors like Xero are looking to expand into the US market, leading to stronger competitive pressure on QuickBooks' lower-end products.

Economic Moat Luke Yang, CFA, Equity Analyst, 21 May 2026

We assign Intuit a narrow moat rating based on high customer switching costs across the company's

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business software and tax filing solutions. Switching costs of Intuit's business solutions mainly come from the heavy workload and potential compliance risk of migrating bookkeeping records and customer information. On the other hand, TurboTax's headstart advantage in self-service tax filing facilitates best-in-class experiences, leading to switching costs for consumer products. With artificial intelligence quickly evolving and fundamentally shifting the cost and speed of software development, we think a narrow moat rating best portrays the strength of switching costs Intuit can enjoy, given all the recent advancements of large language models.

Intuit's global business solutions segment accounts for nearly 60% of the company's total revenue. The main products include bookkeeping software QuickBooks, email marketing tool Mailchimp, and Intuit Enterprise Suite, a midmarket offering that combines both QuickBooks' back-office and Mailchimp's front-office capabilities. Built on the success of personal finance tool Quicken, Intuit introduced QuickBooks in the 1990s to enter the small business market. Over the past decades, QuickBooks has reached dominance in small business accounting with 85% market share. Intuit acquired Mailchimp in 2021, and now it owns around 70% of the US automated email marketing market.

The switching costs of Intuit's business-oriented offerings are based on its ease of use, the regularity of bookkeeping, and the pain of transferring all accounting records. From a technical standpoint, it is less complex for small businesses to move from one accounting platform to another than for enterprises. For QuickBooks customers, the migration can happen in a few weeks, as opposed to a few years for established enterprise resource planning systems used by global enterprises. After all, a small business is likely to leave the Intuit ecosystem at some point because most of them either go out of business or need a more advanced suite to power their next stage of growth. It usually takes a company seven to 15 years, depending on the industry, to become sufficiently large so that it requires more advanced systems for its back offices than what QuickBooks can offer.

Since small businesses' monthly spending on accounting software is typically less than $200, we don't think the migration cost, as well as the potential disruptions, justify any immediate migration from Intuit to artificial intelligence-based alternatives. However, the rapid evolution of large language models' capabilities can bring high uncertainty to the small business management landscape in the long term. Foundational model providers like OpenAI and Anthropic have already made their way into our everyday lives, which means they do not need to build a separate sales channel when deciding to roll out new products targeting small business owners. We see a possibility in 10 years where existing Intuit customers start to ramp off from its business solutions platform, and an emerging AI-native solution wins over Intuit when capturing demand from new business customers. By expanding to the midmarket customers through Intuit Enterprise Suite, Intuit is solidifying its switching costs by handling more mission-critical workloads and deeper system integration.

TurboTax and Credit Karma are Intuit's main consumer offerings. Similar to QuickBooks and Mailchimp,

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TurboTax is an industry leader that has fully penetrated the do-it-yourself, or DIY, tax filing market. Further growth of TurboTax in recent years mainly comes from its assisted tax filing service, TurboTax Live, where Intuit connects users with tax accountants in real time when they encounter difficulties that require professional assistance. Credit Karma is a relatively new addition to the Intuit portfolio in 2021, where the company makes money when a user clicks a link to apply for credit cards or personal loans. There are many other products that provide similar services to Credit Karma, such as SoFi and Block's Cash App. The business also went through some cyclicality in recent years, based on prevailing interest rates.

We think the friendly user experience and high volume of data on users' tax filing history both support TurboTax's switching costs. After filling in all the personal information during the first tax season, TurboTax can autofill tax forms each following year, saving users hours of time and helping them send out their tax return forms faster. Considering the average revenue per customer is around $100 for DIY tax, the cost savings and security risk do not justify the extra time needed to re-enter all the information with a new provider. However, we think it is possible for an AI-native tax filing experience to appear that saves users the hassle of typing in all information manually, which can give them an incentive to move. The AI-based experience should start with the users' personal AI agent, directly pulling out the tax forms from the relevant institutions' database to fill out the tax return with minimal user intervention. In this case, the exact user interface does not matter as much, which can impair TurboTax's switching costs if Intuit fails to keep up in the long term.

To enhance TurboTax's experience in the AI era, Intuit has been heavily promoting "done-for-you" experiences that combine artificial and human intelligence. TurboTax Live has become the main growth driver for Intuit's Consumer segment, recording a five-year compound annual growth rate of 38%, much higher than the overall segment five-year CAGR of 10%. We believe it is possible for TurboTax Live to develop a moat based on network effects in the future as more tax accountants and users join from both sides of the network to form a robust ecosystem in the assisted tax filing market.

In our view, Intuit's Credit Karma business does not have a moat at the moment because we don't see switching costs similar to Intuit's other products. However, we still think Credit Karma has the potential to enjoy a moat based on switching costs eventually, thanks to its synergy with TurboTax. Tax return money is an important part of many Americans' personal finance planning. TurboTax plus Credit Karma give Intuit a more comprehensive picture of users' financial standings, leading to opportunities for personalized recommendations and cross-selling opportunities both in and outside of the tax season. We need to see more signs of Credit Karma developing a unique advantage of retaining its customers within Intuit's ecosystem before assigning it a narrow moat rating.

Fair Value and Profit Drivers Luke Yang, CFA, Equity Analyst, 21 May 2026

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Our fair value estimate for Intuit is $455 per share, which implies a fiscal 2026 enterprise value/sales multiple of 6 times and an adjusted price/earnings multiple of 19 times. We forecast that Intuit will expand revenue at a five-year compound annual growth rate of 10%, mainly supported by strong performances of the global business solutions segment.

We expect the continued build-out of Intuit Enterprise Suite, including additional AI capabilities and expansion of done-for-you products, to drive double-digit annual growth for Intuit's online ecosystem revenue over the next five years. Revenue for TurboTax should also record stable near-to-mid-term annual growth. As more customers adopt TurboTax Live, increased average revenue per customer should become the main growth driver for Intuit's consumer segment. Meanwhile, we believe Credit Karma's user base should continue to expand healthily, underpinning mid- to high-single-digit revenue growth for the segment. Over the past four years, after Intuit acquired Credit Karma, the personal finance platform has been recording an annual total user growth rate in the high single digits and an annual monthly active user growth rate in the midsingle digits. We think Credit Karma's user base growth should accelerate as Intuit deepens synergy between its tax and personal finance offerings.

We expect to see some operating leverage in selling and marketing as Intuit continues to expand its revenue base. However, the R&D expense ratio should remain stable in the mid teens as the company continues to build out advanced functionalities serving midsize businesses. We model a moderate operating margin expansion of around 300 basis points over the next five years.

Risk and Uncertainty Luke Yang, CFA, Equity Analyst, 4 Mar 2026

We assign Intuit a High Morningstar Uncertainty Rating. There is a tail risk of changes in the US online tax filing, leading to uncertainty for TurboTax. Additionally, the recent product makeover toward the midmarket could potentially restrain Intuit's ability to attract new, lower-end customers to its ecosystem. AI is another risk factor that can potentially affect Intuit's competitive advantage.

The Internal Revenue Service provides free tax filing programs for taxpayers whose income meets certain requirements. In our view, these programs would not threaten TurboTax because they only cater to a small subset of taxpayers. We believe it is unlikely that the IRS will expand the free tax filing programs to a larger population, considering the heavy deficit the government is facing and the unsuccessful track record of promoting IRS Direct File.

We believe Intuit's decision to shut down Mint and TinyLetter in early 2024 helps the company to deploy more resources to midmarket products. However, we also think Mint's personal budgeting and TinyLetter's free email newsletter features are great channels to introduce lower-end customers into Intuit's ecosystem, which is especially important as Mailchimp's recent growth performance has been underwhelming. Although midmarket products bring Intuit higher average revenue per customer, we see a possibility where the shrinkage of Intuit's lower-end offerings constrains the company's capacity

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to attract new users.

Generative AI is an emerging risk for software vendors. In the most pessimistic view, AI can be considered a threat to software that built its competitive advantage solely on the user interface. More positively, AI can be considered an opportunity for incumbent vendors to embed their own AI solutions within their platforms, thereby potentially enhancing revenue streams and strengthening their moats. We think AI will remain a factor that brings uncertainty to Intuit's stock performance in the foreseeable future.

Capital Allocation Luke Yang, CFA, Equity Analyst, 21 May 2026

We give Intuit an Standard Morningstar Capital Allocation Rating. This rating reflects our assessments of a sound balance sheet, fair investments, and appropriate shareholder distributions. The company remains focused on its core strengths, while continuing to invest in and build out its overall platform, opening up new addressable markets and growth opportunities.

Intuit's balance sheet remains sound following the $8.1 billion Credit Karma acquisition in 2020 and the $12.0 billion Mailchimp acquisition in 2021. The company's cash balance has been increasing steadily, from $3.3 billion in fiscal 2022 to $4.5 billion in fiscal 2025. Intuit's healthy cash flow generation also allowed it to stabilize its share count through share repurchases and issue dividends at the same time.

We like Intuit's investment strategy and execution that solidified its leadership in the small business and tax software markets. The company's acquisitions of Credit Karma and Mailchimp are among the biggest M&A transactions in the software space, and the price/sales multiple of 8 times and 15 times, for Credit Karma and Mailchimp respectively, are relatively high. We like that Intuit was able to successfully integrate these two platforms without disrupting its margin profiles. Credit Karma should form a deeper synergy with TurboTax by offering Intuit an opportunity to monetize users looking for personal finance services outside of the tax season. We acknowledge the synergy between Mailchimp and QuickBooks, but Mailchimp's performance has not been able to meet Intuit's initial expectations despite years of turnaround efforts. Going forward, we see agentic AI posing a threat to Mailchimp's core email marketing functionalities.

In our view, Intuit's commitment to a healthy dividend and repurchases makes sense given the predictable growth and profitability of the business. We expect Intuit to maintain a dividend payout ratio in the high-teens and increase the size of its share repurchase program over the next five years, thanks to the stable cash flows that the business brings in every year.

Analyst Notes Archive

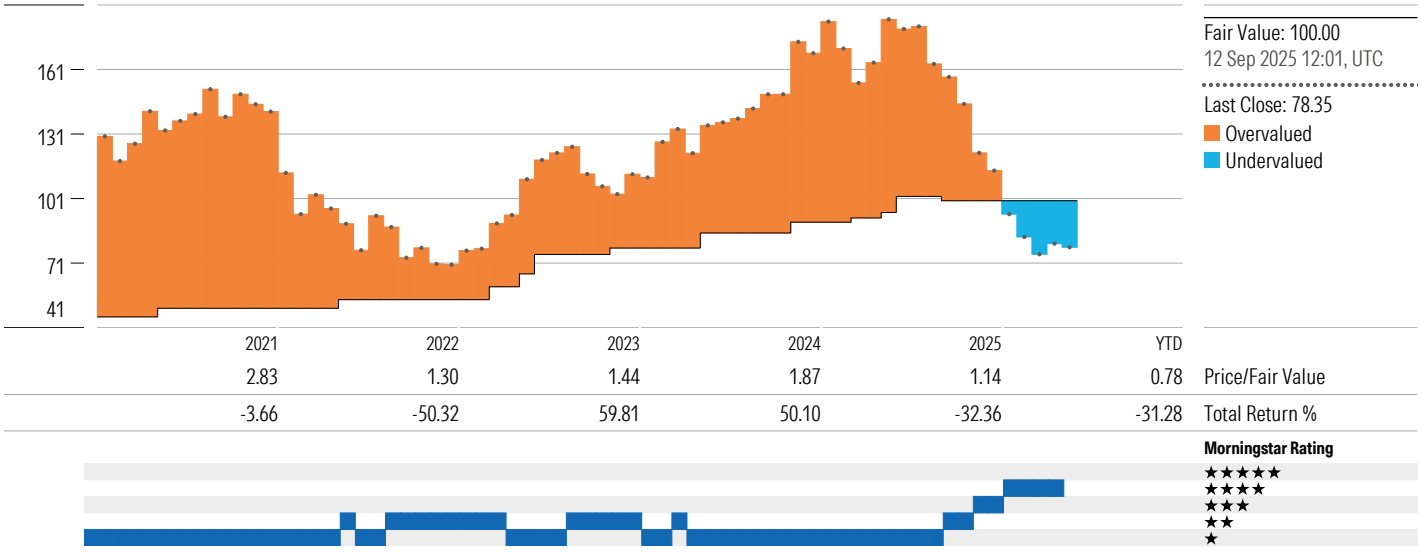
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Competitors Price vs. Fair Value

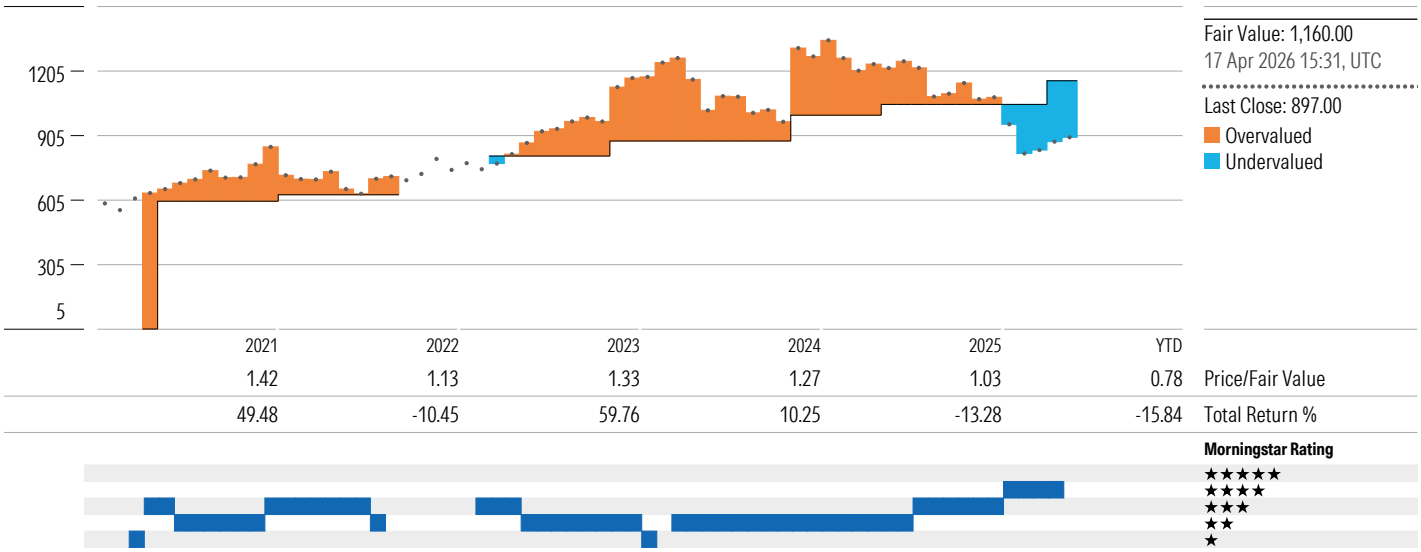
Xero Ltd XRO



	2021	2022	2023	2024	2025	YTD	
	2.83	1.30	1.44	1.87	1.14	0.78	Price/Fair Value
	-3.66	-50.32	59.81	50.10	-32.36	-31.28	Total Return %

Total Return % as of 20 May 2026. Last Close as of 20 May 2026. Fair Value as of 12 Sep 2025 12:01, UTC.

Sage Group (The) PLC SGE



	2021	2022	2023	2024	2025	YTD	
	1.42	1.13	1.33	1.27	1.03	0.78	Price/Fair Value
	49.48	-10.45	59.76	10.25	-13.28	-15.84	Total Return %

Total Return % as of 20 May 2026. Last Close as of 20 May 2026. Fair Value as of 17 Apr 2026 15:31, UTC.

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Intuit Inc INTU ★★★★ 21 May 2026 02:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
383.93 USD 20 May 2026	455.00 USD 21 May 2026 02:35, UTC	0.84	106.18 USD Bil 20 May 2026	Narrow	Large Value	High	Standard	13 May 2026 05:00, UTC

Morningstar Valuation Model Summary

Financials as of 20 May 2026

Fiscal Year, ends 31 Jul	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	14,368	16,285	18,831	21,398	23,813	26,180	28,457	30,691
Operating Income (USD Mil)	3,141	3,853	4,938	5,973	6,749	7,487	8,224	8,931
EBITDA (USD Mil)	3,947	4,419	5,732	6,492	7,548	8,270	8,997	9,719
Adjusted EBITDA (USD Mil)	6,309	7,191	8,381	9,536	10,543	11,509	12,418	13,369
Net Income (USD Mil)	2,384	2,963	3,869	4,431	5,305	5,906	6,487	7,045
Adjusted Net Income (USD Mil)	4,080	4,811	5,703	6,655	7,179	7,775	8,437	9,121
Free Cash Flow To The Firm (USD Mil)	4,770	4,499	3,584	5,418	6,346	6,920	7,498	7,741
Weighted Average Diluted Shares Outstanding (Mil)	283	284	283	278	270	268	266	264
Earnings Per Share (Diluted) (USD)	8.42	10.43	13.67	15.95	19.65	22.04	24.39	26.69
Adjusted Earnings Per Share (Diluted) (USD)	14.42	16.94	20.15	23.96	26.59	29.01	31.72	34.55
Dividends Per Share (USD)	3.12	3.60	4.32	4.80	5.20	5.60	6.00	6.40

Margins & Returns as of 20 May 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	23.4	21.9	23.7	26.2	27.9	28.3	28.6	28.9	29.1	28.3
EBITDA Margin %	—	27.5	27.1	30.4	30.3	31.7	31.6	31.6	31.7	—
Adjusted EBITDA Margin %	—	43.9	44.2	44.5	44.6	44.3	44.0	43.6	43.6	44.0
Net Margin %	18.4	16.6	18.2	20.5	20.7	22.3	22.6	22.8	23.0	22.3
Adjusted Net Margin %	29.4	28.4	29.5	30.3	31.1	30.1	29.7	29.7	29.7	30.1
Free Cash Flow To The Firm Margin %	26.6	33.2	27.6	19.0	25.3	26.7	26.4	26.4	25.2	26.0

Growth & Ratios as of 20 May 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	14.0	12.9	13.3	15.6	13.6	11.3	9.9	8.7	7.9	10.3
Operating Income Growth %	24.3	22.2	22.7	28.2	21.0	13.0	10.9	9.8	8.6	12.6
EBITDA Growth %	20.2	19.0	12.0	29.7	13.3	16.3	9.6	8.8	8.0	11.2
Adjusted EBITDA Growth %	16.9	20.2	14.0	16.6	13.8	10.6	9.2	7.9	7.7	9.8
Earnings Per Share Growth %	23.4	15.7	23.8	31.0	16.7	23.2	12.2	10.7	9.4	14.3
Adjusted Earnings Per Share Growth %	23.4	21.6	17.5	19.0	18.9	11.0	9.1	9.3	8.9	14.3

Valuation as of 20 May 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	35.5	38.2	39.0	16.0	14.4	13.2	12.1	11.1
Price/Sales	10.0	11.1	11.6	5.0	4.5	4.1	3.7	3.5
Price/Book	8.4	10.0	11.3	5.5	5.0	4.3	3.6	3.2
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	23.2	25.5	26.3	11.5	10.4	9.6	8.9	8.2
EV/EBIT	46.6	47.6	44.6	18.4	16.3	14.7	13.4	12.3
Dividend Yield %	0.6	0.6	0.5	1.3	1.4	1.5	1.6	1.7
Dividend Payout %	21.6	21.3	21.4	20.0	19.6	19.3	18.9	18.5
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 20 May 2026

Fiscal Year, ends 31 Jul	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	8.6	9.2	10.5	12.0	13.6	14.0	13.9	13.7
ROE %	13.8	16.1	19.6	23.0	25.6	24.5	23.2	22.1
ROIC %	17.2	14.4	17.0	20.3	22.1	23.8	25.3	26.5

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Intuit Inc INTU ★★★★ 21 May 2026 02:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
383.93 USD 20 May 2026	455.00 USD 21 May 2026 02:35, UTC	0.84	106.18 USD Bil 20 May 2026	Narrow	Large Value	High	Standard	13 May 2026 05:00, UTC

Financial Leverage (Reporting Currency)

	Actual			Forecast				
Fiscal Year, ends 31 Jul	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	4.5	3.5	2.9	4.3	4.5	3.9	3.9	4.0
Assets/Equity	1.6	1.7	1.9	1.9	1.9	1.8	1.7	1.6
Net Debt/EBITDA	0.8	0.6	0.4	0.2	-0.1	-0.6	-1.0	-1.4
Total Debt/EBITDA	1.1	0.9	0.8	0.6	0.6	0.5	0.5	0.5
EBITDA/ Net Interest Expense	41.5	89.9	94.2	-95.4	-202.8	-137.0	-133.4	-132.5

Forecast Revisions as of 20 May 2026

	2026		2027		2028	
Prior data as of 4 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	455.00	495.32	—	—	—	—
Revenue (USD Mil)	21,398	21,266	23,813	23,803	26,180	26,364
Operating Income (USD Mil)	5,973	5,790	6,749	6,784	7,487	7,777
EBITDA (USD Mil)	9,536	9,353	10,543	10,661	11,509	11,901
Net Income (USD Mil)	6,655	6,465	7,179	7,296	7,775	8,250
Earnings Per Share (Diluted) (USD)	15.95	15.96	19.65	18.92	22.04	21.98
Adjusted Earnings Per Share (Diluted) (USD)	23.96	23.07	26.59	26.04	29.01	29.57
Dividends Per Share (USD)	4.80	4.80	5.20	5.20	5.60	5.60

Key Valuation Drivers as of 20 May 2026

Cost of Equity %	8.4
Pre-Tax Cost of Debt %	3.8
Weighted Average Cost of Capital %	8.1
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	5.2
Stage II Investment Rate %	8.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 20 May 2026

	USD Mil
Present Value Stage I	23,163
Present Value Stage II	42,823
Present Value Stage III	53,420
Total Firm Value	**119,406**
Cash and Equivalents	4,552
Debt	5,973
Other Adjustments	0
Equity Value	**117,985**
Projected Diluted Shares	274
Fair Value per Share (USD)	**455.00**

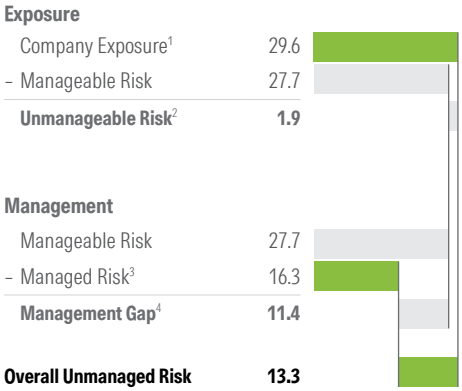
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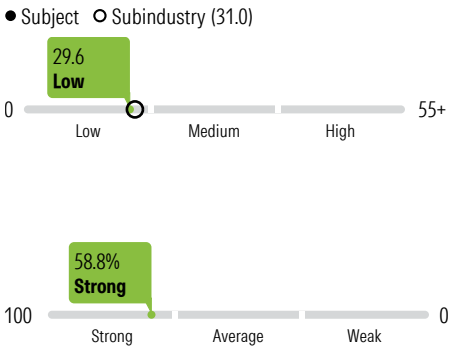
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Intuit Inc INTU ★★★★ 21 May 2026 02:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 58.8% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 13, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Enterprise and Infrastructure Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 13 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Intuit Inc	29.6 | Low	0	55+	58.8 | Strong	100	0	13.3 | Low	0	40+
H&R Block Inc	22.7 | Low	0	55+	40.8 | Average	100	0	13.8 | Low	0	40+
Sage Group (The) PLC	33.9 | Low	0	55+	57.6 | Strong	100	0	15.7 | Low	0	40+
Xero Ltd	31.0 | Low	0	55+	56.9 | Strong	100	0	14.5 | Low	0	40+
AvidXchange Holdings Inc	31.2 | Low	0	55+	26.7 | Average	100	0	23.5 | Medium	0	40+

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Appendix

Historical Morningstar Rating

Intuit Inc INTU 20 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★	★★★★	★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★	★★	★	★★	★★	★★	★★	★★	★★	★★

Xero Ltd XRO 20 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★	★★	★	★	★	★	★	★	★	★	★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★	★	★	★	★	★	★	★★	★	★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★	★★	★	★	★	★	★★	★★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★	★★	★	★	★★	★	★	★	★	★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★	★	★	★	★	★	★	★	★	★	★	★

Sage Group (The) PLC SGE 19 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★	★★	★★	★★	★★	—	★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★	★★★	★★★	★	—	—	—

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

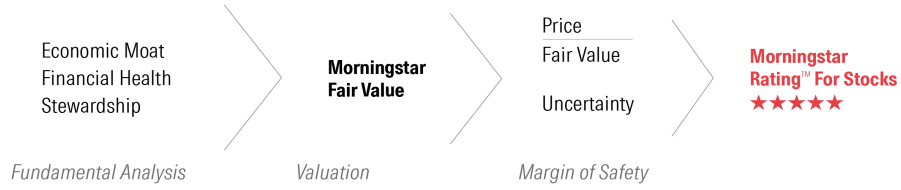
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

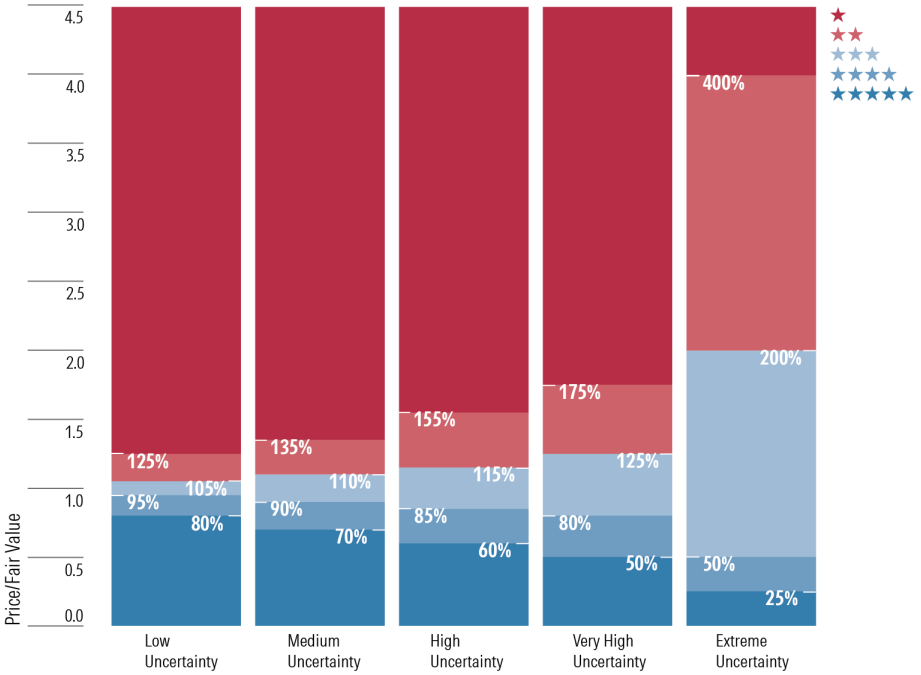
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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